

home is worth currently, not what you paid for it. Take the fair market value of your house and subtract whatever you still owe on your mortgage. If you have a second mortgage or other loans against your house, subtract those too. If your mortgage was completely paid off, you would have 100% equity in your house, but most of us are not there yet.

Ed and Sue's house is now worth \$350,000. They have a mortgage balance of \$225,000. Their equity is \$125,000. The bank will let them take an equity loan for 75% of the appraised value, less what they still owe. Some banks will allow you to use 100% of the value of your house, less the mortgage balance.

Home's current value	$\$350,000 \times 75\% =$	\$262,500
Balance still owed on their mortgage		<u>\$225,000</u>
Home equity loan allowed		\$ 37,500

That is a nice amount to put into a new business!

Other Options

If you have a certificate of deposit (CD) in the bank, you may be able to borrow the money back and repay it at a very good interest rate. If you own stocks, you do not have to sell them. You may be able to borrow 50% of the value you have in your stocks. If you have life insurance policies, you may be able to borrow against the cash value of the policy.

There are other options as well – venture capital, the Small Business Administration, and “angels.” I will get to these in the Free Money chapter!

Get Creative

Don't tell me that you are not creative. I know better. You have a creative streak in you or you would not still be reading this book. You're interested. You know you can do it. Sometimes all it takes is a little encouragement.

Co-signers

As was discussed in dealing with personal credit, you can use many of the same techniques to get liquid money right now. Get a co-signer on a loan! It is immediate cash. With the help of a co-signer who has